Global Monthly Macroeconomic Insight

November 2026

INFLATION	EXPANA SERIES	CURRENT[1]	PREVIOUS[1]	MOM[2]	MOM%[2]
CPI all items US	LO94	3.7%	3.4%	+1.80	+0.54%
HICP all items Euro Area	TG37	3.8%	3.2%	+0.91	+0.68%
CPI all items CN	RP75	0.9%	0.8%	+0.20	+0.19%
MANUFACTURING		**CURRENT**	**PREVIOUS**	**MOM**	**TERRITORY**
PMI manufacturing idx US	PP23	54.5	54.6	-0.1	Expansion
PMI manufacturing idx EU	PP08	52.9	52.7	+0.2	Expansion
PMI manufacturing idx CN	PP12	52.1	51.5	+0.6	Expansion
CURRENCY		**CURRENT**	**PREVIOUS**	**MOM**	**MOM%**
USD Index[3]	N/A	102.12	100.89	+1.23	+1.2%
ENERGY		**CURRENT**	**PREVIOUS**	**MOM**	**MOM %**
Crude oil Brent ICE EU	BCRD	$107.89/barrel	$102.02/barrel	+$5.87	+5.8%
Natural gas TTF NL	NGNL	€85.92/MWH	€75.36/MWH	+€10.56	+14.0%
Natural gas NYMEX US	NGAS	$3.01/10Therm	$2.96/10Therm	+$0.05	+1.7%
Electricity index Europe	EFA1	€178.97/MWH	€159.36/MWH	+€19.61	+12.3%

[1] YOY percentage change, [2] MOM index basket change, [3] USDX as of October 28, 2026, previous as of September 23, 2026. All energy values are monthly prices.

Key Points

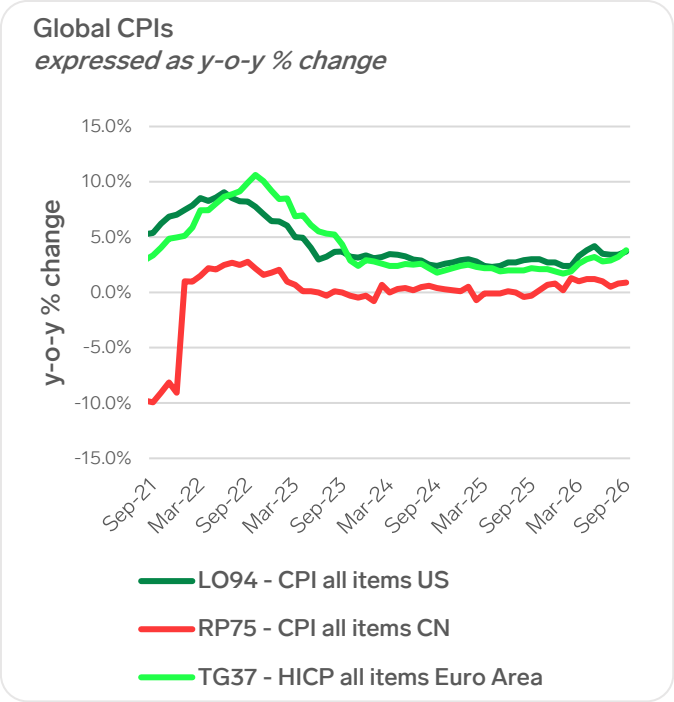
- Energy prices continued to increase throughout October, attributable to the ongoing Middle East conflict and the increased frequency of attacks on commercial shipping.
- Inflation accelerated across the US, the Eurozone, and China throughout September.
- The EU construction market contracted seasonally in September and is below September 2025, pointing to a decline in consumer activity.

Inflation

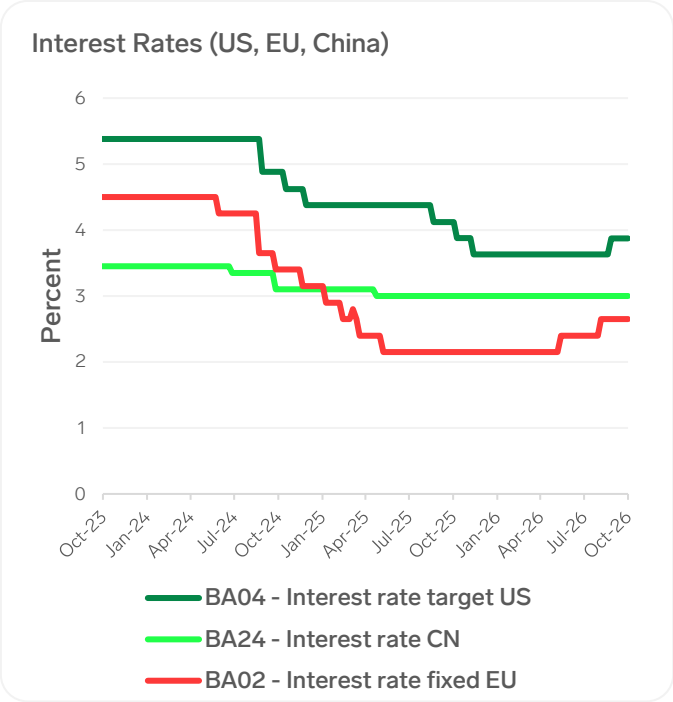
US

In the US, annualized headline inflation accelerated to 3.7% in September, up from 3.4% in August. Energy inflation again propelled the headline figure, registering 20.4% YOY, attributable to ongoing tightness in crude oil and natural gas markets caused by the Middle East conflict. Gasoline and fuel oil, in particular, showed marked YOY inflation, at 34.2% and 74.2%, respectively. Market participants view another interest rate hike in the US as highly likely before the end of 2026.

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Source: US Bureau of Labor Statistics, Eurostat, General Administration of Customs of China



Source: Federal Reserve, Trading Economics, European Central Bank

Eurozone

In the Eurozone, headline inflation was 3.8% YOY in September, accelerating from 3.2% YOY in August. Like in recent months, energy inflation continued to push up the headline figure, with energy inflation at 18.9% YOY in September, rising from 14.3 the previous month. Although still below the European Central Bank's (ECB) 2.0% target, food alcohol and tobacco inflation was 1.3% YOY in September, up from 1.1% in August. With the continued accelerating inflation, market players expect another 25 basis point interest rate hike by the ECB in December.

China

In China, annualized headline inflation accelerated to 0.9% in September, up from 0.8% in August. Energy inflation rose 14.9% YOY, resulting in accelerating transport and telecommunication inflation, at 4.3% YOY. Despite increased prices, persistently sluggish consumer demand has capped climbs. The producer price index exceeded market expectations, registering 5.0% YOY.

Manufacturing

US

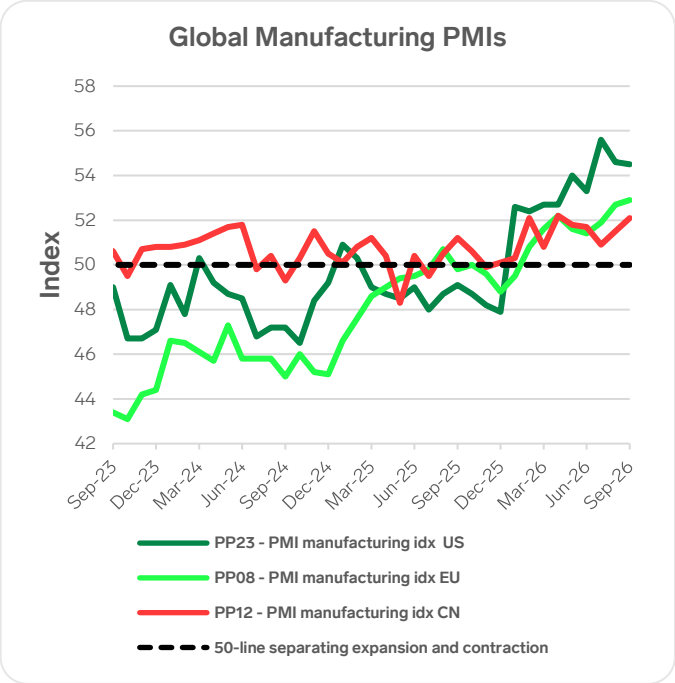
The US manufacturing PMI was 54.5 in September, down 0.1 percentage points (pp) from 54.6 recorded in August, representing the ninth consecutive month of expansion (denoted by a reading above 50). Demand dynamics were mixed throughout the month, with new orders increasing 1.6 pp to 55.3, moving further into expansion territory. However, new export orders declined 2.3 pp, albeit remaining in expansion territory, at 50.9. On the supply side, production slipped to 56.7, down 1.6 pp, while employment was up 1.5 pp to 52.7.

Eurozone

In the Eurozone, the manufacturing PMI was 52.9 in September, up from 52.7 in August, the highest value in over four years. Output rose to 53.6, up from 53.3. Input costs remained elevated, in line with persistently high crude oil and natural gas prices, adding upward momentum to the cost of manufacturing processes. According to sources, demand was robust throughout the month.

China

In China, the manufacturing PMI was 52.1 in September, up 0.6 pp from 51.5 in August, constituting the tenth consecutive month of expansion. According to sources, output improved MOM, with increased production capacity noted. Regarding demand, both the new orders and new export orders sub-indices growing MOM. Input costs continued to rise, chiefly attributable to elevated energy costs, especially in the crude oil market.

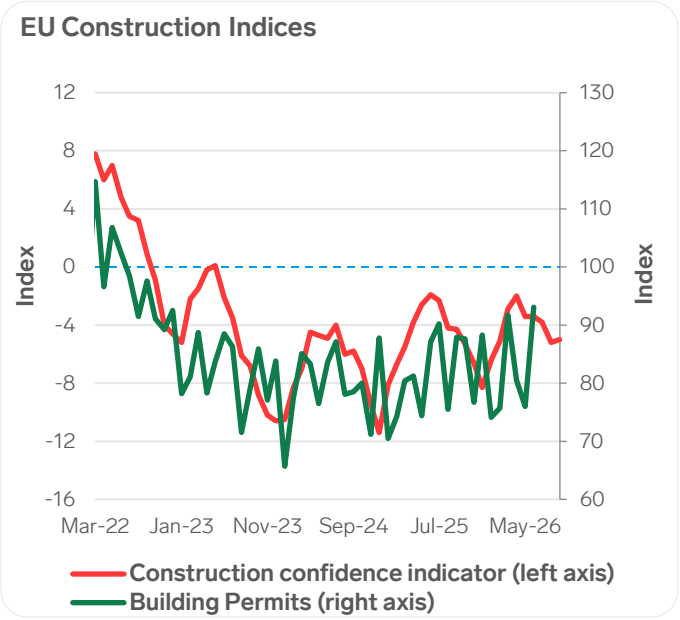


Source: ISM, IHS Markit

Construction

The EU construction confidence indicator fell seasonally to -5 points in September and is below September 2025, pointing to a decline in consumer activity. Sources indicate that high diesel prices and consumer inflation in general are significantly worsening sentiment among consumers buying new homes. Although wage growth in Europe continues, its pace still lags the inflation accumulated over the last two years. Building permits issued in the EU showed 5% growth year over year (YOY) for the first half of 2026. However, according to data for Germany and France, the index began to decline in July and August, reflecting falling demand. In the US, the construction sector continued to see declining indexes in September. The number of building permits issued fell 1.2% YOY, remaining at last month's level; the median listing price per square foot in the US fell 1.3% YOY. The market recovery expected in September did not materialize. On the one hand, consumers are experiencing a shock from inflation, primarily in fuel and energy. On the other hand, uncertainty ahead of the midterm elections in the US in November has increased, which has further delayed some purchases.

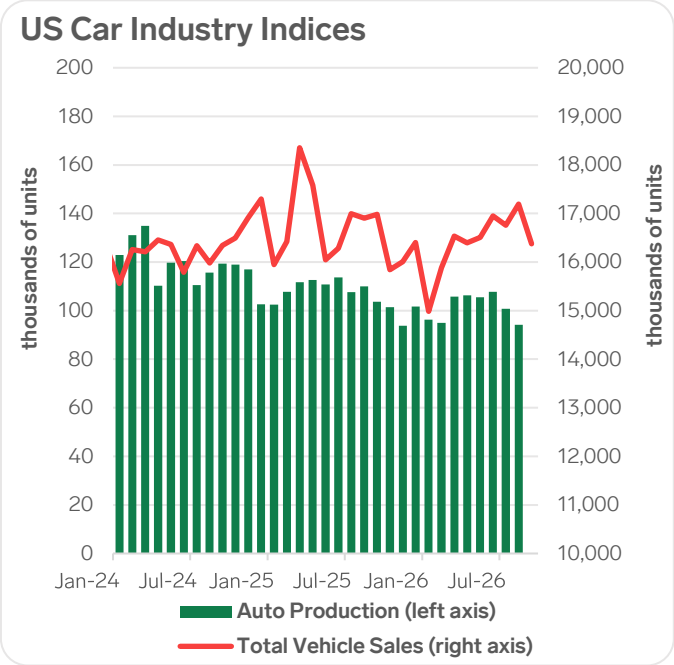
China's real estate investment fell 27% YOY in September, with the cumulative decline for the first nine months of 2026 at 21% YOY. As before, the construction of commercial buildings leads the contraction. Nevertheless, infrastructure projects continue to cushion the decline in the construction sector. One of the best indicators of the real volume of total construction is cement production, which in China fell 9% YOY for the first nine months of 2026. The decline is occurring twice as slowly as the contraction in investment volume.



Source: Eurostat

Automotive

US auto production fell again in August, declining 6.5% MOM and 14.4% YOY, marking the worst performance since November 2025 when aluminum component supply disruptions from smelter accidents constrained production. For the first eight months, auto production fell 7.4%, signaling weak demand for US-manufactured vehicles. Total US auto sales for the first nine months declined 2.6% YOY, though new vehicle sales contracted only 1.9% YOY over the same period. Notably, new vehicle sales are declining far more slowly than domestic production volumes, indicating that imported autos now dominate new vehicle sales in the US market.



Source: Federal Reserve Economic Data

In the EU, the motor vehicle manufacturing index deceleration slowed to 6% YOY in August after 10% YOY in July. For the first eight months, the index fell 6% YOY, continuing a prolonged downtrend that began in 2023. Auto producers report losses and are cutting production. By contrast, new vehicle sales in Europe rose 6% YOY for the first nine months. However, the bulk of growth occurred from March to June 2026 when rising fuel prices spurred consumers to actively purchase new vehicles, with demand concentrated in electric and hybrid models.

Motor vehicle production in China fell 5.7% YOY in September, extending the downtrend that began in December 2025. Importantly, domestic demand weakness is the primary driver. In the SUV segment, production continued to expand 11% YOY for the first nine months of 2026. Electric vehicle production growth, however, decelerated to 12% YOY over the same period, compared with 25% YOY in 2025.

Currency

USD Index

The USD index (USDX) compares the USD's strength against six key internationally-traded currencies. The following currency pairs and weightings comprise the index: USD/EUR 57.6%; USD/JPY 13.6%; USD/GBP 11.9%; USD/CAD 9.1%; USD/SEK 4.2%; USD/CHF 3.6%.

All pairings are expressed in terms of the USD as the base currency. Thus, appreciation of the USD is shown as a positive percentage change in blue text in the table below, while red text shows a comparatively weaker USD.

The Expana USDX rose 1.2% MOM in October, settling at 102.12. The upward movement was chiefly driven by the continued safe-haven demand from investors due to the ongoing Middle East conflict and the intensification of attacks on commercial shipping in the Strait of Hormuz. Furthermore, there is a general expectation among market participants that the US Federal Reserve will hike interest rates by another 25 basis points before the end of 2026.



Source: XE; Expana calculations

Energy

Crude Oil

Crude oil prices rose again in October, extending the upward trend that began in July 2026, though the MOM gain was smaller than in September. Market players remained concerned about Gulf supply as attacks on commercial shipping became more frequent. Volumes exiting via the Strait of Hormuz stayed low, supporting prices.

Natural Gas

In Europe, natural gas prices continued to rise markedly throughout October, extending the upward trend that has been evident for most of 2026. Players expressed major concerns due to disrupted imports from Gulf states, such as Qatar, and the increased frequency of attacks on ships in the Strait of Hormuz, which deterred many carriers from attempting to traverse the Strait throughout October. Storage levels in the EU remain notably lower YOY.

Logistics

Sea Freight



Source: Drewry

The Global Shipping 40-foot Container Composite Index has fluctuated within a narrow range since July 2026 and remains at elevated levels. In October, the index fell 0.1% MOM but was 160% higher YOY at $4,463 per unit. Following China's Golden Week holiday period, during which many businesses pause operations, Transpacific rates are yet to see the easing that some participants anticipated, though some suggest that there are signs of decreasing demand. Despite easing demand on Asia-Europe routes, lingering disruption from a series of typhoons at Far East ports maintain some upward pressure on rates. Industry reports suggest that port congestion is being exacerbated by an increase in transits through the Red Sea, as vessels arrive ahead of schedule. In addition, carriers are reportedly planning to implement rate increases in November.

US Freight

In September, the North America Truckload Linehaul Index increased by 0.6% MOM and rose by 10.1% YOY to 154.80 points. In September and early October, the North American trucking market remained tight, but the pricing picture became more split between contract and spot. Contract truckload rates continued to firm, reflecting the value shippers place on dependable capacity, while spot linehaul conditions softened in some periods even as fuel costs climbed. That divergence reinforces a market driven more by constrained supply than by a broad rise in freight volumes. Carrier exits, tighter operating conditions, regulatory pressure, and driver availability continue to limit capacity, while diesel remains a meaningful cost headwind. Execution also varies by equipment type and lane, with reefer and flatbed generally firmer than dry van and weekend reloads or weather-sensitive lanes requiring closer attention.

EU Freight

In September, the European Road Freight increased by 2.0% MOM and rose by 10.7% YOY to 143.62 points. European road freight prices continue to soar, owing primarily to the elevated cost of diesel, according to market participants. Carriers are facing severe cash-flow challenges, and some EU member states have extended support measures through to the end of the year, though some reports suggest that the release of funds have been too slow and some businesses remain in a precarious situation. Some carriers are reportedly passing on costs via surcharges.

Global Retail Sales

US retail sales rose 6.3% YOY in September 2026, accelerating from a revised 5.6% in August, while sales rose 0.8% MOM, led by gas stations (up 6.4% MOM) and restaurants and bars (up 1.1% MOM). In the Eurozone, retail trade volume rose 0.8% YOY in August 2026, accelerating from a revised 0.4% YOY in July. The improvement occurred mainly in non-food goods excluding fuel, where growth rose sharply from 0.2% YOY in July to 1.7% in August. In China, retail sales rose 1.1% YOY in September 2026, beating the expected 0.5% and accelerating from 0.4% YOY in August. However, the recovery remains narrow, as car sales fell 21.2% YOY and building materials sales fell 9.2%, reflecting the weak real estate market.

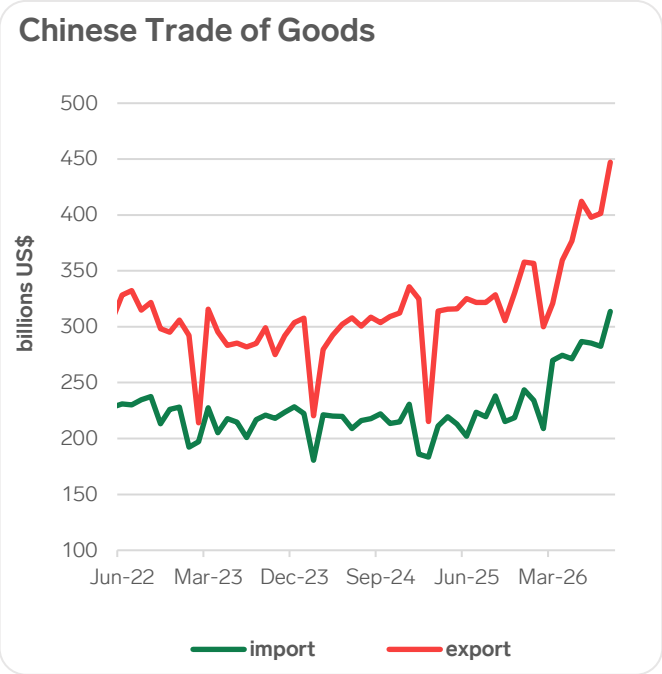
Global Industrial Production

US industrial production rose 2.2% YOY in September 2026, accelerating from a revised 1.6% YOY in August, while output rose 0.7% MOM, the strongest monthly gain in five months, led by utilities (up 3.5% MOM). Manufacturing output rose 0.3% MOM after a revised 0.2% decline in August. In the Eurozone, industrial production fell 1.1% YOY in August 2026, deteriorating from a revised 0.3% YOY decline in July according to Eurostat, while output fell 0.5% MOM. The sharpest declines were recorded in Belgium (down 5.1% MOM) and Ireland (down 3.1% MOM). In China, industrial production accelerated to 5.5% YOY in September 2026 from 5.2% YOY in August.

International Trade

China continues to actively expand foreign trade. For the first nine months of 2026, exports rose 21% YOY, with September marking a historical high. Imports into China over the same period rose 28% YOY, also setting a historical record in September. It is important to note that the primary driver of trade growth is rising commodity prices globally, so in physical terms trade volume growth is likely considerably more moderate. Nevertheless, robust demand for containerized ocean shipping and elevated freight rates clearly confirm that trade volume in physical weight remains elevated.

US imports rose 4% YOY for the first eight months of 2026, while exports over the same period rose 15% YOY. Tariff restrictions certainly constrain import growth significantly, whereas exports are expanding robustly driven by energy resource sales. At the same time, month over month (MOM) data show that imports have posted steady growth since April 2026, while exports conversely trend lower. Market sources indicate that risks of new tariffs are spurring importers to accelerate metals purchases in particular.



Source: National Bureau of Statistics of China